TD Economics

Quarterly Economic Forecast

Oil and Tariffs and AI, Oh My!

September 17, 2026

Highlights

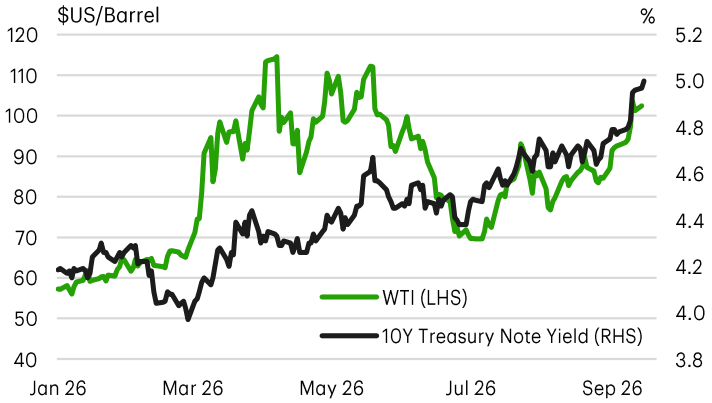
- A resolution to the Mid-east conflict has become more elusive and complex, shifting the forecast towards higher oil prices and bond yields. However, these headwinds have not taken the wind out of the sails of the global economy.
- The U.S. Federal Reserve has raised interest rates for the first time in three years to combat inflation that has proven quite sticky alongside a solid U. S. economic outlook. It would be unconventional for it to be the last. We expect a second increase in the fourth quarter to keep longer-term inflation expectations anchored.

The summer has seen a twister of conflicts, from escalation in the Mid-east to Canada and the U.S.'s escalating tariff dispute. At this point, neither look to have an off-ramp in the near future, causing us to raise the forecast for oil prices (see table). Bond yields have risen sharply alongside oil prices as markets price in higher inflation and a greater degree of central bank tightening globally (Chart 1). Most major central banks now have a tightening bias. The ECB, the Bank of Japan and U.S. Federal Reserve have already raised rates this quarter and some of them are likely to do so again this year.

Despite the geopolitical doom and gloom, the U.S. economy continues to bravely follow the yellow brick road of AI investment to a peer-leading economic growth outlook. This investment boom is unlikely to be undercut by higher yields, especially given the ongoing resilience in overall financial conditions (Chart 2).

The global economy's performance over the past quarter has been uneven but encouraging. On economic growth, Asian economies have continued to expand at exceptional rates, supported by AI-related capital expenditure—most notably in Taiwan, Korea, and Singapore and, to a lesser extent, in Japan. Many economies have maintained solid domestic momentum despite substantial exposure to the oil supply shock, with India chief among them. Some cracks are appearing within China, where growth is on track to land near the bottom of the authorities' target range, and perhaps lower. The Eurozone has been surprisingly resilient, significantly outperforming in the second quarter. Behind this narrative lies a big growth-push from Ireland's inherently volatile exports from large multinational corporations. However, looking past this, we expect the eurozone to grow at a

Chart 1: Longer-Term Bond Yields Have Risen Alongside Higher Oil Prices



Source: Federal Reserve Board, EIA, TD Economics.

U.S. Economic Outlook

Period-Over-Period Annualized Per Cent Change Unless Otherwise Indicated

Economic Indicators	2026				2027				2028				Annual Average			4th Qtr/4th Qtr		
	Q1	Q2	Q3F	Q4F	Q1	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F	26F	27F	28F	26F	27F	28F
Real GDP	2.1	1.5	2.8	2.2	1.9	2.0	2.2	2.3	2.0	2.0	2.0	1.9	2.2	2.1	2.1	2.2	2.1	2.0
Consumer Expenditure	0.5	3.4	3.0	1.9	1.7	1.9	2.1	2.1	2.1	2.1	2.1	2.1	2.2	2.1	2.1	2.2	1.9	2.1
Durable Goods	0.5	5.7	2.0	1.2	1.5	2.3	3.2	3.2	3.5	3.5	3.5	3.5	1.9	2.2	3.3	2.3	2.5	3.5
Business Investment	10.6	8.5	9.5	7.1	5.9	5.9	5.3	4.9	3.4	3.1	3.0	2.9	7.2	6.6	3.9	8.9	5.5	3.1
Non-Res. Structures	-4.7	-1.8	-2.0	-1.0	-1.0	-1.0	0.0	0.0	1.0	1.0	2.0	2.0	-4.2	-1.0	0.7	-2.4	-0.5	1.5
Equipment & IPP*	14.7	11.0	12.2	9.0	7.5	7.5	6.5	6.0	4.0	3.5	3.3	3.1	10.1	8.3	4.6	11.7	6.9	3.5
Residential Investment	-7.8	1.2	-6.1	0.0	2.8	4.3	3.9	3.1	3.2	3.2	3.2	3.0	-4.1	1.5	3.3	-3.2	3.5	3.2
Govt. Expenditure	4.4	-1.0	1.9	1.9	1.3	0.9	0.9	0.7	0.5	0.4	0.3	0.2	0.4	1.2	0.5	1.8	1.0	0.3
Final Domestic Demand	2.2	3.3	3.3	2.6	2.3	2.4	2.4	2.3	2.0	2.0	1.9	1.9	2.3	2.6	2.1	2.8	2.3	2.0
Exports	10.9	4.5	-4.0	3.0	2.7	2.7	2.8	2.8	3.0	3.0	3.0	3.0	3.6	2.0	2.9	3.4	2.7	3.0
Imports	11.8	12.5	8.0	6.1	6.0	6.1	5.0	4.0	2.9	2.5	2.5	2.5	3.4	6.4	3.4	9.6	5.3	2.6
Change in Private Inventories	-16.7	-53.1	1.3	6.7	16.7	26.7	36.7	46.7	46.7	46.7	46.7	46.7	-15.4	31.7	46.7	--	--	--
Final Sales	1.9	2.2	1.8	2.1	1.8	1.9	2.1	2.1	2.0	2.0	2.0	2.0	2.3	1.9	2.0	2.0	2.0	2.0
Pre-tax Corporate Profits Including IVA&CCA	7.0	41.5	8.7	9.6	6.2	8.9	8.1	6.5	4.9	4.5	3.0	2.9	17.9	9.8	5.4	15.9	7.4	3.8
% of GDP	13.9	14.9	15.0	15.2	15.2	15.4	15.5	15.6	15.6	15.6	15.6	15.5	14.7	15.4	15.6	--	--	--
GDP Deflator (y/y)	3.3	4.4	3.8	3.6	3.2	2.2	2.4	2.2	2.3	2.2	2.2	2.2	3.8	2.5	2.2	3.6	2.2	2.2
Nominal GDP	5.8	8.0	4.7	5.0	4.0	4.7	4.5	4.6	4.4	4.2	4.1	4.1	6.0	4.7	4.4	5.9	4.4	4.2
Labor Force	-2.6	-1.3	-0.5	0.8	0.2	0.3	0.3	0.3	0.4	0.4	0.4	0.4	-0.6	0.2	0.4	-0.9	0.3	0.4
Non-Farm Employment	0.3	0.7	0.5	0.6	0.4	0.3	0.3	0.3	0.3	0.3	0.3	0.2	0.3	0.4	0.3	0.5	0.3	0.3
Change in Non-Farm Empl. ('000s)	129	291	194	237	158	135	130	130	120	100	101	100	494	704	467	851	553	421
Unemployment Rate (%)	4.3	4.3	4.1	4.1	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.2	4.0	4.0	--	--	--
Personal Disp. Income	5.6	3.7	4.9	5.0	5.3	5.1	5.1	5.0	5.3	4.9	4.9	4.8	4.1	5.0	5.1	4.8	5.1	5.0
Pers. Savings Rate (%)	3.9	2.8	2.7	2.7	3.2	3.5	3.8	4.0	4.3	4.5	4.6	4.8	3.0	3.6	4.6	--	--	--
Cons. Price Index (y/y)	2.7	3.8	3.4	3.4	2.8	1.7	1.8	1.6	1.8	2.0	2.1	2.2	3.3	2.0	2.0	3.4	1.6	2.2
Core CPI (y/y)	2.5	2.7	2.4	2.6	2.4	2.3	2.3	2.2	2.2	2.2	2.2	2.2	2.6	2.3	2.2	2.6	2.2	2.2
Core PCE Price Index (y/y)	3.1	3.4	3.4	3.3	2.7	2.4	2.2	2.0	2.0	2.0	2.0	2.0	3.3	2.3	2.0	3.3	2.0	2.0
Housing Starts (mns)	1.42	1.34	1.28	1.32	1.34	1.37	1.39	1.40	1.42	1.43	1.45	1.46	1.34	1.37	1.44	--	--	--
Real Output per Hour** (y/y)	2.9	2.2	1.5	1.7	1.8	1.9	1.9	1.9	1.9	1.9	1.7	1.6	2.1	1.9	1.8	1.7	1.9	1.6

F: Forecast by TD Economics, September 2026.

* Intellectual Property Products. ** Non-farm business sector.

Source: Bureau of Labor Statistics, Bureau of Economic Analysis, Census Bureau, TD Economics.